

Subject Description Form

Subject Code	AF5130
Subject Title	Sustainable Finance
Credit Value	3
Level	5
Pre-requisite/ Co-requisite/ Exclusion	Nil
Objectives	This is an introductory course on Sustainable Finance is designed to provide a comprehensive understanding of how sustainability issues have become relevant to the investment decisions by corporate managers, professional investors and all others market participants. This subject provides updated knowledge about 1) ESG risk and opportunities; 2) the role of financial system in achieving carbon neutrality and sustainability; 3) the key concepts, principles, and regulations of corporate sustainable development sustainability reporting; 4) different frameworks for incorporating sustainable investing practices from both the investor and corporate boardroom perspectives (The full spectrum of sustainable finance products and strategies across the equity and fixed income asset classes will be covered such as green bonds and sustainability indexing) ; and 5) various carbon pricing schemes/regulations and climate risk related challenges and opportunities for existing companies and entrepreneurs
Intended Learning Outcomes <i>(Note 1)</i>	Upon completion of the subject, students will be able to: - Understand the necessity and urgency of carbon neutrality in sustainable development, and the importance of financial system in achieving it. - Understand the mainstream theories, underlying drivers and financial impacts of corporate sustainable activities and disclosure - Gain an overall picture of ESG risk and opportunities and how financial system can facilitate sustainability and the transition to carbon neutrality. - Grasp some important economic principles and approaches to various sustainable investing. - Identify and evaluate the major types of sustainable finance and green products. - Equip with the knowledge about the current stage and future trend of sustainable reporting, GRI & ISSB standards, climate risk, and the mechanism and challenges of various carbon pricing instruments - Apply the key sustainable finance concepts to real world sustainability-related issues in finance. - Understand how and why sustainable finance help to achieve sustainable development goals of carbon neutrality.
Subject Synopsis/ Indicative Syllabus <i>(Note 2)</i>	Topic 1: Introduction to Sustainable Finance and Overview of ESG factors - What is finance? - What is sustainability and its three different aspects? - Introduction to Environmental, Social, Governance Factors & concepts - Definition of sustainable finance - Three stages of sustainable finance

	• Understanding the application of sustainable, green, and climate finance. • The UN sustainable development goals and the role of financial system Topic 2: Understanding the Essentials of Corporate Finance and Business • Basic Areas of Finance • Financial Management Decisions • Goal of Financial Management • Forms of Business Organization • Agency theory, Agency Problem and Agency cost • Financial Markets • Financial Statements and key ratios Topic 3: Understanding the Essentials of Investment and Portfolio management • Investment and investment alternatives • Information and market efficiency • Return and risk • The modern portfolio theory Topic 4: ESG Risk and Opportunities • History and Evolution of ESG • Current challenges of ESG factors • Five pathways of ESG materiality • Who are ESG data providers and how to access this data and integrate into financial analysis? • ESG management at the firm level Topic 5: ESG and Climate Change • Understanding the relationship and intersection among sustainability, ESG, and/or climate change. • Why focus on climate change? • The transition to a net-zero economy • What (Who) is driving business firms to focus on climate change? • What are the climate risks and opportunities for firms? • What is green greenwashing and its different types. Understand how organizations can greenwash and “greenwish” sustainability claims as well as actions to counteract these practices Topic 6: Sustainability and Climate Policy, Culture, and Governance • Understand the evolution of international climate policy • Understand the relative scale of emissions by country • Public and private governance to address climate change goals • Building climate resilience through creative private solutions • Extended producer responsibility, product stewardship, and the circular economy • Understand the structure, benefits, and drawbacks of carbon pricing policies, including carbon taxes and emissions trading schemes. Topic 7: Corporate Governance and Corporate Social Responsibility • What is the objective of corporation? • Corporate governance frameworks • Theories of CSR • Understand how shareholders impact sustainability strategy of a company Topic 8: Sustainability Reporting
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	• Introduction to sustainability reporting, GRI and ISSB Standards • Corporate voluntary and mandatory CSR/ESG/Carbon emission disclosure • ESG metrics by external rating agencies • The role of sustainability reporting in facilitating carbon neutrality Topic 9: Understanding the Dynamics of Sustainable Investing & its Different Approaches • An historical overview and its link to carbon neutrality • Differentiating between socially focused investing, governance focused investing and environment focused investing • The size and growth of the Sustainable investing marketplace • Exclusion-based Sustainable investing • Integration-based Sustainable investing • Impact & engagement-based Sustainable investing • Carbon credit trading Topic 10: Sustainable Finance: Markets and Instruments • Identify trends and flows in sustainable, green, and climate finance. • Green, social, climate, and sustainable bonds. • The core components of the Green Bond Principles. • Green loans and their markets • Sustainability-linked bonds and loans • The core components of the Sustainability-Linked Loan and Sustainability-Linked Bond Principles • Sustainable funds, green funds, and other sustainable finance products																																						
Teaching/Learning Methodology (Note 3)	This subject comprises of class-contact lectures and workshops. The class-contract lectures will introduce the key concepts, principles, regulations, disclosures, economic forces and challenges for corporate sustainable development and the transition to carbon neutrality, various approaches to sustainable investing, and the mechanism and economic rationale of various carbon pricing instruments. Workshops will be conducted in the form of case analysis, group project discussion and presentation. For the individual case analysis, students are expected to apply their knowledge learned from this subject to analyse the underlying drivers, benefits and costs of firms’ sustainable practices and investors’ investment. For the group project, students are expected to apply the sustainable principles and investing approaches to construct an appropriate sustainable investment strategy or make internal sustainable strategies to facilitate corporate carbon neutrality transition.																																						
Assessment Methods in Alignment with Intended Learning Outcomes (Note 4)	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="8">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th>f</th><th>g</th><th>h</th></tr><tr><td>1. Class participation and quizzes</td><td>15%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>2. Mid-term Examination</td><td>20%</td><td>√</td><td>√</td><td>√</td><td></td><td></td><td></td><td></td><td></td></tr></table>	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)								a	b	c	d	e	f	g	h	1. Class participation and quizzes	15%	√	√	√	√	√	√	√	√	2. Mid-term Examination	20%	√	√	√					
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1. Class participation and quizzes	15%	√	√	√	√	√	√	√	√																														
2. Mid-term Examination	20%	√	√	√																																			

3. Group Project and Presentation	15%	√	√	√	√	√	√	√	√
4. Final Examination	50%				√	√	√	√	√
Total	100 %								

Continuous Assessment Component (50%)

Class participation (15%):

It is assessed based on the students' performance during class. The assessment relates to attendance (5%), participation in class discussions (5%) and quizzes (5%). Students are required to actively participate in classroom discussion and other various classroom activities arranged by the lecturer. Performance will be evaluated on the effort rather than accuracy.

Mid-term Examination (20%):

A closed-book examination with compulsory multiple-choice questions and short and long analytical questions.

Group presentation (15%):

Students can either form a group (the minimum number of three and the maximum number of six) or choose to be assigned to a group by the lecturer. Each group will choose one topic/ case study (to be assigned later) and all group members are required to make a presentation in class and answer questions raised by the instructor and classmates during Q & A sessions. Expected week of Presentation are given in below table.

Group #	Presentation Week	Remarks
1	Week 11	+3 bonus points for being the first to present
2	Week 11	+3 bonus points for being the first to present
3	Week 12	
4	Week 12	
5	Week 12	
6	Week 12	
7	Week 13	
8	Week 13	
9	Week 13	

Group presentation

- Your presentation can be structured as follows:
 - Cover Page (course code, presentation topic, group number, **names in the sequence of presenter**)
 - Table of contents
 - Free format and structure for the main content
 - References (provide a listing but no need to present)
- Watch below video to prepare for your presentation

	- How to do an effective business presentation https://www.youtube.com/watch?v=yACXKJAF4C8&index=8&list=PL-SQk7QZGmuWLaWkG1aBtL_C0lsydInL6 <u>Deliverables</u> - Powerpoint slides ≤ 25 slides (excluding cover and reference); 30 min presentation and 10 min Q&A - The soft copy of the presentation should be uploaded to the Blackboard <u>3 calendar days before</u> the presentation date. Late submission results in a 5-mark reduction for each day late. <u>Assessment method</u> - Instructor grading 12% - Peer evaluation 3% <u>Final Examination (50%)</u> The final examination is a three-hour CLOSED BOOK examination, which comprises cases/questions relating to all the learning outcomes.	
Student Study Effort Expected	Class contact:	
	▪ Lectures	33 Hrs.
	▪ Cases discussion and group project presentation	6 Hrs.
	Other student study effort:	
	▪ Reading materials/textbook/cases	26 Hrs.
	▪ Preparing for class discussion and assignments	52 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Reference textbook: Schoenmaker, D., & Schramade, W. (2019). Principles of sustainable finance. Oxford University Press. First edition “Essentials of Corporate Finance” by Stephen Ross and Randolph Westerfield and Bradford Jordan (2020) https://www.mheducation.com/highered/product/essentials-corporate-finance-ross-westerfield/M9781260013955.html) Guttermann, A. S. (2021). Sustainable finance and impact investing. Business Expert Press. First edition Sustainable Finance and Banking: The Financial Sector and the Future of the Planet* Marcel Jeucken Earthscan Publications Ltd, 2001 Sustainable Investing. The Art of Long-Term Performance*. Edited by Cary Krosinsky and Nick Robins. Earthscan Publications Ltd, 2008 2024 SCR Certificate Sustainability and Climate Risk Exam EBOOK	

	• Cases (e.g. Harvard Business School Case and Singapore Management University Case) - important for having a deeper understanding of a particular project or strategy. • Academic papers - important for understanding the “big picture” and fostering systematic thinking. For example: • Baldauf, Garlappi, Yannelis (2019, “Does Climate Change Affect Real Estate Prices?” <i>Review of Financial Studies</i>) • Dhaliwal, Li, Tsang and Yang (2011, “Voluntary Nonfinancial Disclosure and the Cost of Equity Capital: The Initiation of Corporate Social Responsibility Reporting” <i>Accounting Review</i>) • Dimson, Karakaş and Li (2015, “Active Ownership” <i>Review of Financial Studies</i>) • Flammer C. (2015, “Does corporate social responsibility lead to superior financial performance? A regression discontinuity approach” <i>Management Science</i>)
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Note 1: Intended Learning Outcomes

Intended learning outcomes should state what students should be able to do or attain upon subject completion. Subject outcomes are expected to contribute to the attainment of the overall programme outcomes.

Note 2: Subject Synopsis/Indicative Syllabus

The syllabus should adequately address the intended learning outcomes. At the same time, overcrowding of the syllabus should be avoided.

Note 3: Teaching/Learning Methodology

This section should include a brief description of the teaching and learning methods to be employed to facilitate learning, and a justification of how the methods are aligned with the intended learning outcomes of the subject.

Note 4: Assessment Method

This section should include the assessment method(s) to be used and its relative weighting, and indicate which of the subject intended learning outcomes that each method is intended to assess. It should also provide a brief explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes.